



DALAL & BROACHA
STOCK BROKING PVT. LTD.

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Result Update @ Dalal & Broacha

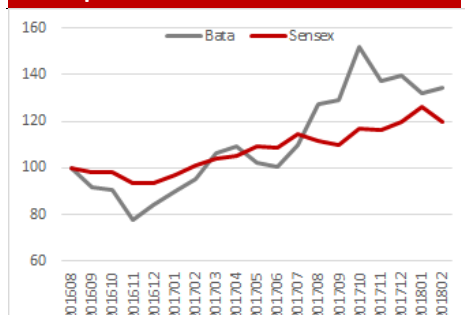
ACCUMULATE

Current Price	719
52 Week Range	833/483

Key Share Data

Market Cap (Rs.bn)	92.7
Market Cap (US\$ mn)	1450
No of o/s shares (mn)	128.5
Face Value	5.0
Monthly Avg.	184
vol(BSE+NSE) Nos'000	
BSE Code	500043
NSE Code	BATAINDIA
Bloomberg	BATA IN

Price performance



% Shareholding	Dec-17	Sept-17
Promoters	52.96	52.96
Institutions	31.36	31.48
Others	15.68	15.56
Total	100.0	100.0

Bata Q3FY18 Results better than expectations on bottom line EBIDTA margins increase to 16.5% v/s 12.4% YoY supported by value added products and cost efficiency.

Q3FY18 Net Revenues increased by 6.2% YoY to Rs 6740mn. Retail business (85% of revenues) grew well backed by festive season.

EBIDTA increased 42% YoY to Rs 1114.8mn and EBIDTA margins stood at 16.5% as against 12.4% last year

Strong Product portfolio in addition to cost efficiencies in manufacturing and non-manufacturing areas aided margins.

As % to Revenues:

-Raw Materials stood at 44.9% as against 46.5% YoY due to better product mix on account of premiumization.

-Rentals declined to 13.3% as against 14.2% last year on account of GST (input credits) and better negotiations.

Other Expenses declined to 14.9% as against 16.6% YoY

Q3FY18 Other Income declined by 33.6% YoY to Rs 107.3mn,

PBT (before exceptional items) increased by 36.3% YoY to Rs 1062.94mn

Q3FY18 PAT Adjusted (excluding VRS expense of Rs 216.7mn in Q3FY17 of Faridabad plant) increased by 31.3% YoY to Rs 681.73mn. For 9MFY18 Bata did an EPS of Rs 13.34 as against 10.66 last year.

Valuations @ Rs.719:

44x FY18e EPS of Rs.16.3 and 36x FY19e EPS of Rs 20.

We maintain Accumulate for Longterm

Other KTA's

Launches: Fashion forward collection comprising evening party and work wear / In sports segment, introduced 2 new athleisure inspired Power products Glidesteam and Nwalk

-In Male collection Bata brought back its iconic Ambassador collection and added fresh styles to its already successful European collection

Year	Net Sales	%growth	EBIDTA	OPM%	PAT	%growth	EPS	PE(x)	RoE%	RoCE%
FY16	24,227.1	(10.1)	2,706.0	11.2%	1,462.2	(26.8)	11.4	63.2	12.0	16.1
FY17	24,742.6	2.1	2,785.8	11.3%	1,729.6	18.3	13.5	53.4	13.1	16.1
FY18E	27,245.2	10.1	3,366.0	12.4%	2,090.1	20.8	16.3	44.2	14.5	18.4
FY19E	31,007.1	13.8	4,192.6	13.5%	2,559.6	22.5	20	36.1	15.9	20.9



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Particulars (Rs Mns)	Q3FY18	Q3FY17	Growth	9MFY18	9MFY17	9MFY16	Growth
Net Sales	6740.03	6346.56	6.2%	19969.6	18757.3	18839.2	-0.4%
Other Operating Income		0.0		0	0	11.71	-100.0%
Total Operating Income	6740.03	6346.56	6.2%	19969.6	18757.3	18850.9	-0.5%
Other Income	107.3	161.56	-33.6%	371.36	344.74	264.54	30.3%
TOTAL INCOME	6847.33	6508.12	5.2%	20340.9	19102.1	19115.5	-0.1%
Cost of Materials Consumed	-676.45	-740.37	-8.6%	-2106.1	-2217.6	-2597.2	-14.6%
Purchase of Stock in Trade	-2027.7	-1701.4	19.2%	-7201.8	-6415.6	-6670.5	-3.8%
Changes in Inventories	-323.47	-507.36	-36.2%	138.41	-181.57	-38.19	375.4%
Employee Cost	-694.04	-657.91	5.5%	-2144.9	-2009.2	-1928.8	4.2%
Rent	-896.53	-898.7	-0.2%	-2726.1	-2623.1	-2564.6	2.3%
Other Expenses	-1007	-1055.5	-4.6%	-3214.2	-3101.1	-2955.3	4.9%
EXPENDITURE	-5625.2	-5561.2	1.2%	-17255	-16548	-16755	-1.2%
EBIDTA	1222.1	946.88	29.1%	3086.24	2553.94	2360.91	8.2%
EBIDTA (Excl O. Income)	1114.8	785.32	42.0%	2714.88	2209.2	2096.37	5.4%
Less: Depreciation	-154.21	-161.85	-4.7%	-435.66	-483.59	-581.62	-16.9%
PBIT	1067.89	785.03	36.0%	2650.58	2070.35	1779.29	16.4%
Less: Interest Cost	-4.95	-5.33	-7.1%	-21.59	-24.75	-12.61	96.3%
PBT (Before Exceptional)	1062.94	779.7	36.3%	2628.99	2045.6	1766.68	15.8%
Exceptional		-216.69		0	-216.69	747.07	
PBT (Post Exceptional)	1062.94	563.01	88.8%	2628.99	1828.91	2513.75	-27.2%
Tax	-381.21	-185.88	105.1%	-914.01	-600.87	-620.15	-3.1%
PAT (Reported)	681.73	377.13	80.8%	1714.98	1228.04	1893.6	-35.1%
PAT (Adjusted)	681.73	519.253	31.3%	1714.98	1370.16	1179.89	16.1%
Other Comprehensive Income	22.89	-19.44		-124.33	-27.15	-8.67	
Total Comprehensive Income	704.62	357.69		1590.65	1200.89	1884.93	
Equity	642.64	642.64	0.0%	642.64	642.64	642.64	0.0%
FV	5	5		5	5	5	
EPS (On reported PAT)	5.30	2.93	80.8%	13.34	9.55	14.73	-35.1%
EPS (on adjusted PAT)	5.30	4.04	31.3%	13.34	10.66	9.18	16.1%
OPM	16.5%	12.4%		13.6%	11.8%	11.1%	
NPM (Reported PAT)	10.0%	5.8%		8.4%	6.4%	9.9%	
Tax Rate	-35.9%	-33%		-35%	-33%	-25%	
% of Total Operating Income							
Cost of Materials Consumed	-10.0%	-11.7%		-10.5%	-11.8%	-13.8%	
Purchase of Stock in Trade	-30.1%	-26.8%		-36.1%	-34.2%	-35.4%	
Changes in Inventories	-4.8%	-8.0%		0.7%	-1.0%	-0.2%	
RAW MATERIALS	-44.9%	-46.5%		-45.9%	-47.0%	-49.4%	
Employee Cost	-10.3%	-10.4%		-10.7%	-10.7%	-10.2%	
Rent	-13.3%	-14.2%		-13.7%	-14.0%	-13.6%	
Other Expenses	-14.9%	-16.6%		-16.1%	-16.5%	-15.7%	
EXPENDITURE	-83.5%	-87.6%		-86.4%	-88.2%	-88.9%	



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